



business resource center



As a policyholder through USLI, you have access to many free and discounted services that will assist you in operating and growing your business through the Business Resource Center (BRC). Consider the following services and associated cost savings when deciding where to place your insurance!

Cybersecurity

- Complimentary access to eRiskHub®, a data breach prevention and response resource that will help you understand your exposure to a data breach and the importance of a response plan
- Best practice checklists for securing personal and payment card information, plus tips on protecting against cyberattacks

Background Checks and Screenings

- Discounted background checks, including multi-court criminal database searches, county criminal searches and more (first background check is free)
- Best practices for performing a background check
- Discounted tenant and drug screenings and motor vehicle reports (MVRs)

Disaster Preparation and Recovery

- Guidance on preparing for natural disasters and severe weather
- Business planning and recovery toolkit
- Sample incident reporting form and disaster loan assistance resource

Human Resources

- Free PeopleSystems' human resources consultation helpline to be used for personnel issues, including harassment and discrimination, the Family and Medical Leave Act, disability, wage and hours regulations and more
- Online library with information, forms and articles pertaining to human resources
- Discounted HR and payroll management system by PrimePoint
- Discounted employee workplace assessment by Talogy, previously PSI Caliper
- Resources for recruiting, interviewing and terminating employees

Marketing

- Resources marketing via email and social media, capturing leads and building surveys
- Free and discounted stock imagery sites and photo and video editing programs
- Discount stationery, signage, promotional items and gifts

Property Safety

- Free workplace safety and occupational health consultation
- Tips for building maintenance, fire prevention and water safety

Industry-specific Resources For:

- Health, wellness and sports
- Hospitality, food and beverage
- Nonprofits and social services
- Residential and rental properties
- Retail and professional services
- Youth services and child care
- ... and more!



Try our cost-savings calculator to see how much you could save!

ONLINE LEARNING

Need help training your new employees?

Properly preparing new employees can be time-consuming and expensive. We offer a variety of free and discounted industry-specific training and certifications to help you save time and money!

Topics include:

- Food manager and handler safety
- Liquor safety
- CPR, first aid and concussion
- Sexual harassment
- Leadership and professional development



For a full list of vendors, discounts and resources, visit bizresourcecenter.com.



24/7 CLAIM REPORTING

In our continuing effort to provide you with excellent claim service, you may now report a claim and get claim assistance 24 hours a day/7 days a week.

For claim reporting, call toll free 1-888-875-5231 or visit USLI.COM and select the “report a claim” option.

For emergency claims requiring immediate assistance, please use the toll free option. Your call will be referred to a claims professional who will respond within an hour of your call with direction and assistance.

Thank you for placing your trust in our company. We pledge to work hard every day to earn and maintain that trust.



USLI.COM
888-523-5545



Privacy Notice At Collection

We may need to collect certain personal information to provide you with our services and products. For information on how we store, use and protect personal information, please see our Privacy Policy accessible on our website, <https://www.usli.com/privacy-policy/>.

FREE PRIVACY BREACH RISK MANAGEMENT RESOURCES



WILL YOU BE PREPARED WHEN A PRIVACY BREACH OCCURS?

Every year, thousands of privacy breaches are reported, exposing millions of people's personal information. The eRiskHub® portal, powered by NetDiligence®, is an effective way to combat privacy breaches and other types of cyber losses.

With your USLI policy, you will receive instructions on how to access and begin using the eRiskHub® portal—a benefit that is valued in excess of \$1,200 a year!

eRiskHub® an all-in-one resource for becoming educated about and prepared for a privacy breach. This free service is available to USLI policyholders.

Using proprietary tools anchored in proven risk management principals, NetDiligence® provides a full range of enterprise-level information security, e-risk insurability and regulatory compliance assessment and testing services. NetDiligence® supports and is endorsed by some of the world's largest network liability insurance underwriters.

HOW TO START USING THIS FREE OFFERING:

- ▶ Go to eriskhub.com/usli
- ▶ Select "**Register Now**" to set up a free account
- ▶ Create your own username and password;
your access code is **08451**

KEY FEATURES OF THE ERISKHUB® PORTAL



Data breach calculators: Learn how to estimate the cost of a breach, notifications and business interruption.



Learning center: Explore best practices articles, white papers and webinars from leading technical and legal experts. Highlighted topics include PCI compliance and social engineering.



Security training: Watch videos to learn about best practices in security and privacy awareness, or download a training guide.



Risk manager tools: Discover how your cybersecurity measures up to industry best-practices with a self-assessment, and find other resources to assist you with cyber risk management such as sample privacy policies.



Ransomware resources: Listen to experts discuss challenges and best practices to prevent ransomware attacks, and browse our site to discover the impact of an attack based on hundreds of real incidents.



Consultation: Our Breach Coach, HIPPA Coach and Security Coach are available to assist you.



No. CAP1013086P

PARENT ORGANIZATION AND PRINCIPAL ADDRESS:

EAGLE BAY PARK ASSOCIATION, INC.
MARY BETH LABOSKI
18 COTTONWOOD LANE
PITTSFORD, NY 14534

POLICY PERIOD: (MO. DAY YR.) From: 07/17/2024 To: 07/17/2025

12:01 A.M. STANDARD TIME AT YOUR
MAILING ADDRESS SHOWN ABOVE

BUSINESS DESCRIPTION: Community Association

IN RETURN FOR THE PAYMENT OF THE PREMIUM, AND SUBJECT TO ALL THE TERMS OF THIS POLICY, WE AGREE
WITH YOU TO PROVIDE THE INSURANCE AS STATED IN THIS POLICY.

THIS POLICY CONSISTS OF THE FOLLOWING COVERAGE PARTS FOR WHICH A PREMIUM IS INDICATED.

	PREMIUM
Directors And Officers Liability Coverage Part	\$2,054.00

TOTAL:	\$2,054.00
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Coverage Form(s) and Endorsement(s) made a part of this policy at time of issue

See Endorsement EOD (1/95)

Agent: R-T SPECIALTY, LLC (BUFFALO) (1161)
6450 Transit Road
Depew, NY 14043

Issued: 07/10/2024 11:06 AM

Broker:

By: 
Authorized Representative

EXTENSION OF DECLARATIONS

Policy No. CAP1013086P

Effective Date: **07/17/2024**

12:01 AM STANDARD TIME AT YOUR MAILING ADDRESS

FORMS AND ENDORSEMENTS

The following forms apply to the Directors And Officers Liability coverage part

<i>Endt#</i>	<i>Revised</i>	<i>Description of Endorsements</i>
CAP 211NY	08/15	Amendment Of Breach Of Contract Exclusion To Include Defense Costs Endorsement - New York
CAP 240	02/21	Biometric Information Exclusion
CAP-210 NY	05/07	Deletion Of Non-Monetary Damages Exclusion Endorsement
CAP-221 NY	06/07	Deletion Of Failure To Effect Or Maintain Adequate Insurance Endorsement New York
CAP-224	09/06	Application Definition Clarification Endorsement
CAP-236 NY	05/15	Amended Defense And Settlement Provision Endorsement
CAP-NY	06/07	Community Association Professional Liability Insurance Policy New York
CAP-NY-DN	05/11	New York Disclosure Notice
JACKET NY	12/19	Policy Jacket
PL 1 PFAS CAP NY	03/24	EXCLUSION - PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

DIRECTORS & OFFICERS LIABILITY COVERAGE PART DECLARATIONS

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE POLICY COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENSION PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. CAP1013086P

Effective Date: 07/17/2024

12:01 AM STANDARD TIME

ITEM I. PARENT ORGANIZATION AND PRINCIPAL ADDRESS

**EAGLE BAY PARK ASSOCIATION, INC.
MARY BETH LABOSKI
18 COTTONWOOD LANE
PITTSFORD, NY 14534**

ITEM II. POLICY PERIOD: (MM/DD/YYYY) From: 07/17/2024 To: 07/17/2025

Community Association Directors & Officers Liability - D&O/EPL

ITEM III. LIMITS OF LIABILITY	\$1,000,000	EACH CLAIM
	\$1,000,000	IN THE AGGREGATE

ITEM IV. RETENTION:	\$1,000	EACH CLAIM
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ITEM V. PREMIUM:	\$2,054
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ITEM VI. Coverage Form(s)/Part(s) and Endorsement(s) made a part of this policy at time of issue:
See Endorsement EOD (01/95)

THESE DECLARATIONS ARE PART OF THE POLICY DECLARATIONS CONTAINING THE NAME OF THE INSURED AND THE POLICY PERIOD.

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This endorsement modifies insurance provided under the following:

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY INSURANCE POLICY

**AMENDMENT OF BREACH OF CONTRACT EXCLUSION TO INCLUDE
DEFENSE COSTS ENDORSEMENT – NEW YORK**

It is agreed:

IV. EXCLUSIONS is amended as follows by deleting Exclusion L. in its entirety and replacing it with:

L. Any **Insured's** actual or alleged liability for damages under any express contract or agreement; however, this Exclusion shall not apply to **Defense Costs** associated with any **Claim**, unless coverage under this Policy would be a violation of public policy or would be prohibited under Insurance Law;

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Parent Organization's** Policy and takes effect on the effective date of the **Parent Organization's** Policy unless another effective date is shown.

This Endorsement modifies insurance provided under the following:

**COMMUNITY ASSOCIATION DIRECTORS & OFFICERS LIABILITY
COVERAGE FORM**

BIOMETRIC INFORMATION EXCLUSION

The Community Association Directors & Officers Liability Coverage Form Section III. DEFINITIONS, is amended to include the following:

Biometric Identifier(s) means a retina or iris scan, fingerprint, voiceprint, deoxyribonucleic acid (DNA), scan of hand or face geometry, or any physical, physiological, biological or behavioral characteristic of an individual, or anything else that could be perceived as biologically unique to an individual.

Biometric Information means any information, regardless of how it is captured, converted, stored, or shared, based on an individual's **Biometric Identifier(s)** used to identify an individual.

The Community Association Directors & Officers Liability Coverage Form Section IV. EXCLUSIONS, section A is amended to include the following:

Any actual or alleged violation of any law that regulates or restricts the collection, maintenance, storage, use, safeguarding, handling, retention, disposal, notifications, disclosures or authorizations related to **Biometric Information**; or any actual or alleged unauthorized collection, maintenance, storage, use, safeguarding, handling, retention, disposal, notifications, disclosures or authorizations of **Biometric Information**, or any other improper use thereof.

All other terms and conditions of this policy remain unchanged. This endorsement is part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This Endorsement modifies insurance provided under the following:

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY

DELETION OF NON-MONETARY DAMAGES EXCLUSION ENDORSEMENT

It is hereby agreed that Section IV. EXCLUSIONS, is amended by the deletion of Exclusion F. in its entirety.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of your Policy and takes effect on the effective date of your Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This Endorsement modifies insurance provided under the following:

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY

**DELETION OF FAILURE TO EFFECT OR MAINTAIN ADEQUATE
INSURANCE ENDORSEMENT
New York**

It is hereby agreed that Section IV. EXCLUSIONS is amended as follows:

Exclusion J. is deleted in its entirety

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of your Policy and takes effect on the effective date of your Policy unless another effective date is shown.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This endorsement modifies insurance provided under the following:

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY

APPLICATION DEFINITION CLARIFICATION ENDORSEMENT

It is hereby agreed that Section III. DEFINITIONS, A. “**Application**” is amended to:

A. “**Application**” means:

- (1) the Application, if any, including any material submitted therewith, for this Policy; and
- (2) the Application(s), including any material submitted therewith, for all previous Policies issued by the **Company** providing continuous coverage until the inception date of this Policy, together with any material submitted with the Application for this Policy, all of which shall be retained on file and deemed a part of this Policy as if physically attached hereto.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

**COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY INSURANCE
POLICY**

Amended Defense And Settlement Provision Endorsement

It is agreed:

XI. Defense and Settlement is deleted in its entirety and replaced with the following:

The **Insured** shall not demand or agree to arbitration of any **Claim** without the written consent of the **Company**. The **Insured** shall not, except at personal cost, make any offer or payment, admit any liability, settle any **Claim**, assume any obligation, or incur any expense without the **Company's** written consent.

If a **Claim** is made against the **Insured** for **Loss** that is both covered and uncovered by this Policy, the **Company** will pay one hundred percent (100%) of **Defense Costs** for the **Claim** until such time that the Limits of Liability of this Policy are exhausted by payment of a covered **Loss** or the **Claim** for the covered **Loss** is resolved by settlement, verdict or summary judgment.

The **Company**, as it deems expedient, has the right to investigate, adjust, defend, appeal and, with the consent of the **Insured**, negotiate the settlement of any **Claim** whether within or above the Retention. If the **Insured** refuses to consent to a settlement recommended by the **Company**, the **Company's** obligation to the **Insured** for **Defense Costs** and **Loss** attributable to such **Claim(s)** shall be limited to:

- (1) The amount of the covered **Loss** in excess of the Retention which the **Company** would have paid in settlement at the time the **Insured** first refused to settle;
- (2) Plus covered **Defense Costs** incurred up to the date the **Insured** first refused to settle;
- (3) Plus seventy five percent (75%) of covered **Loss** in excess of the first settlement amount recommended by the **Company** and seventy-five percent (75%) of **Defense Costs** incurred after the date the **Insured** first refused to settle.

It is understood that payment of (1), (2) and (3), above, is the limit of the **Company's** liability under this Policy for any **Claim** in which the **Insured** fails or refuses to consent to the **Company's** settlement recommendation, subject at all times to the Limits of Liability and Retention provisions of this Policy. The remaining twenty five

percent (25%) of **Loss** and **Defense Costs** in excess of the amount referenced in (1) and (2), above, shall be the obligation of the **Insured**.

The **Insured** agrees to cooperate with the **Company** on all **Claims**, and provide such assistance and information as the **Company** may reasonably request. Upon the **Company's** request, the **Insured** shall submit to examination and interrogation by a representative of the **Company**, under oath if required, and shall attend hearings, depositions, and trials, and shall assist in the conduct of suits, including but not limited to effecting settlement, securing and giving evidence, obtaining the attendance of witnesses, giving written statements to the **Company's** representatives and meeting with such representatives for the purpose of investigation and/or defense, all of the above without charge to the **Company**. The **Insured** further agrees not to take any action which may increase the **Insured's** or the **Company's** exposure for **Loss** or **Defense Costs**.

The **Insured** shall execute all papers required and shall do everything that may be necessary to secure and preserve any rights of indemnity, contribution or apportionment which the **Insured** or the **Company** may have, including the execution of such documents as are necessary to enable the **Company** to bring suit in the **Insured's** name, and shall provide all other assistance and cooperation which the **Company** may reasonably require.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of the **Parent Organization's** policy and takes effect on the effective date of the **Parent Organization's** policy unless another effective date is shown.

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY INSURANCE POLICY
New York

NOTICE: This is a **Claims** Made Policy. This Policy only covers those **Claims** first made against the **Insured** during the **Policy Period** or Extension Period, if purchased. **Defense Costs** shall be applied against the Retention.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith, and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENTS

- A.** The **Company** will pay on behalf of the **Insured Loss** in excess of the Retention subject to the co-insurance provisions and not exceeding the Limit of Liability for which this coverage applies that the **Insured** shall become legally obligated to pay because of **Claims** first made against the **Insured** during the **Policy Period** or during the Extension Period, if applicable, for **Wrongful Act(s)** or **Wrongful Employment Act(s)** arising solely out of an **Insured's** duties on behalf of the **Organization**.
- B.** The **Company** has the right and duty to defend any **Claim** to which this insurance applies, even if the allegations of the **Claim** are groundless, false, or fraudulent. The **Company** may investigate any **Claim** and settle any **Claim** with the **Insured's** consent as the **Company** deems expedient, but the **Company** is not obligated to pay any **Loss** or defend any **Claim** after the Limit of Liability has been exhausted by payments of **Loss**.
1. If the **Company** concludes that, based on occurrences, offenses, **Claims** or suits which have been reported to the **Company** and to which this insurance may apply, the Limit of Liability is likely to be used up in the payment of judgments or settlements, the **Company** will notify the **Insured**, in writing, to that effect.
 2. When a limit of insurance described in Paragraph A. above has actually been used up in the payment of judgment or settlements:
 - (a) The **Company** will notify the **Insured**, in writing, as soon as practicable, that:
 - (1) Such a limit has actually been used up; and
 - (2) The **Company's** duty to defend suits seeking damages subject to that limit has also ended.
 - (b) The **Company** will initiate, and cooperate in, the transfer of control, to any appropriate **Insured**, of all **Claims** and suits seeking damages which are subject to that limit and which are reported to the **Company** before that limit is used up. The **Insured** must cooperate in the transfer of control of said **Claims** and suits.

The **Company** agrees to take such steps, as the **Company** deems appropriate, to avoid a default in, or continue the defense of, such suits until such transfer is completed, provided the appropriate **Insured** is cooperating in completing such transfer.

The **Company** will take no action whatsoever with respect to any **Claim** or suit seeking damages that would have been subject to that limit, had it not been used up, if the **Claim** or suit is reported to the **Company** after that limit of insurance has been used up.

- (c) The **Insured**, and any other **Insured** involved in a suit seeking damages subject to that limit, must arrange for the defense of such suit within such time period as agreed to between the appropriate **Insured** and the **Company**. Absent any such agreement, arrangements for the defense of such suit must be made as soon as practicable.
- 3. The **Insured** will reimburse us for expenses the **Company** incurs in taking those steps the **Company** deems appropriate in accordance with Paragraph 2.(b) above.
The duty of the **Insured** to reimburse the **Company** will begin on:
 - (a) The date on which the applicable limit of insurance is used up, if the **Company** sent notice in accordance with Paragraph 1 above; or
 - (b) The date on which the **Company** sent notice in accordance with Paragraph 2.a above, if the **Company** did not send notice in accordance with Paragraph 1 above.
- 4. The exhaustion of any limit of insurance by the payments of judgment or settlements, and the resulting end of the **Company's** duty to defend, will not be affected by the **Company's** failure to comply with any of the provisions of this condition.

II. FULL PRIOR ACTS COVERAGE PROVISION

Coverage shall apply to any **Claim** first made against the **Insured** arising out of a **Wrongful Act** or **Wrongful Employment Act** committed prior to the expiration date of this Policy, provided that the **Claim** is first made during the **Policy Period**, or **Extension Period**, if applicable, and written notice of said **Claim** is reported to the **Company** during the **Policy Period**, any subsequent renewal of this Policy, or if applicable, during the **Extension Period**.

However, coverage shall not apply to any **Claim** based upon or arising out of any **Wrongful Act**, **Wrongful Employment Act** or circumstance likely to give rise to a **Claim** of which any **Insured** had knowledge, or otherwise had a reasonable basis to anticipate might result in a **Claim**, prior to the earlier of:

- A. The inception date of this Policy; or
- B. The inception date of the first Policy of this type the **Company** has issued to the **Parent Organization**, provided that the **Company** has written continuous coverage for the **Parent Organization** from such date to the inception date of this Policy.

III. DEFINITIONS

A. "**Application**" means:

- (1) The Application for this Policy, a copy of which is attached hereto; and
- (2) The Application(s), including any material herewith, for all previous policies issued by the **Company** providing continuous coverage until the inception date of this Policy together with any material submitted with the Application for this Policy, all of

which shall be retained on file and deemed a part of this Policy as if physically attached hereto.

- B. “**Claim**” means any written notice received by any **Insured** that any person or entity intends to hold such **Insured** responsible for a **Wrongful Act** or **Wrongful Employment Act**.

A **Claim** shall be considered first made when an **Insured** or its legal representative or agent first receives notice of a **Claim**.

- C. “**Company**” means the insurer identified in the Declarations.

- D. “**Construction Defect(s)**” means any actual or alleged defective, faulty, or delayed construction or any other matter constituting a construction defect under applicable law, regardless of whether it results from:

- (1) Defective or incorrect architectural plans or others designs;
- (2) Defective or improper soil testing;
- (3) Defective, inadequate or insufficient protection from subsoil or earth movement or subsidence;
- (4) Construction, manufacture or assembly of any tangible property;
- (5) The failure to provide or pay for any construction-related goods or services; or
- (6) The supervision or management of any construction-related activities.

- E. “**Defense costs**” means reasonable and necessary legal fees and expenses incurred by the **Company**, or by any attorney designated by the **Company** to defend the **Insureds**, resulting from the investigation, adjustment, defense and appeal of a **Claim**. **Defense Costs** include other fees, costs, costs of attachment or similar bonds (without any obligation on the part of the **Company** to apply for or furnish such bonds), but does not mean salaries, wages, overhead, or benefits expenses of any **Insured**.

- F. “**Discrimination**” means:

- (1) The termination of an employment relationship;
- (2) A demotion or failure to hire or promote any individual; or
- (3) Any other limitation or classification of an **Employee** or applicant for employment which would deprive any individual of employment opportunities or adversely affect any individual’s status as an **Employee**;

because of race, color, religion, age, sex, disability, pregnancy, national origin, marital status, sexual orientation or other protected class or characteristic established under applicable federal, state, or local statute or ordinance, regulation or order. Coverage is only provided for **Claim** allegations relating to disparate impact and vicarious liability.

- G. “**Employee**” means any person whose labor or service is engaged by and directed by the **Organization** and includes leased, part-time, seasonal and temporary workers and volunteers. An **Employee’s** status as an **Insured** will be determined as of the date of the **Wrongful Act** or **Wrongful Employment Act** which results in the **Claim**.

- H. “**Harassment**” means:

- (1) Sexual harassment including unwelcome sexual advances, requests for sexual favors or other verbal or physical conduct of a sexual nature that are made a condition of

employment, are used as a basis for employment decisions, or create a work environment that is hostile, intimidating or offensive or that otherwise interferes with performance; or

(2) Other workplace harassment which creates a work environment that is hostile, intimidating or offensive or that otherwise interferes with performance. Coverage is only provided for **Claim** allegations pertaining to vicarious liability.

- I. “**Individual Insureds**” means any persons who were, now are, or shall be directors, trustees, officers, **Employees**, volunteers or committee members of the **Organization**, including their estates, heirs, legal representatives or assigns in the event of their death, incapacity or bankruptcy.
- J. “**Insured(s)**” means the **Organization** and the **Individual Insureds**.
- K. “**Loss**” means damages and settlements, but does not include fines, penalties imposed by law, sanctions, taxes and matters deemed uninsurable under the law pursuant to which this Policy shall be construed. This definition excludes punitive damages, exemplary damages or the multiplied portion of any multiple damage award.
- L. “**Organization**” means:
 - (1) The **Parent Organization**; and
 - (2) Any **Subsidiary** of the **Parent Organization**.
- M. “**Parent Organization**” means the entity named in Item I. of the Declarations.
- N. “**Policy Period**” means the period from the effective date of this Policy to the Policy expiration date set forth in the Declarations, or its earlier cancellation or termination date, if any.
- O. “**Retaliation**” means any actual or alleged retaliatory treatment against an **Employee** because of:
 - (1) The exercise of or attempt to exercise an **Employee’s** rights under law;
 - (2) An **Employee’s** disclosure of or threat to disclose to a governmental agency or superior acts of actual or alleged wrongdoing by any **Insured**; or
 - (3) The filing of any claim under any federal, state or local “whistle-blower” law including the Federal False Claims Act.
- P. “**Subsidiary**” means any nonprofit entity, association or corporation, of which the **Parent Organization** owns more than 50% of the voting stock, or in cases where no stock has been issued, controls such **Subsidiary** at the time of Policy inception, and shall be limited to any **Subsidiary** identified as such in the **Application**.

After the Inception Date of this Policy, **Subsidiary** shall also include any non profit entity whose assets total less than 25% of the total consolidated assets of the **Parent Organization** as of the inception date of this Policy, and which becomes a **Subsidiary** during the **Policy Period**. The **Parent Organization** shall provide the **Company** with full particulars of the new **Subsidiary** as soon as practicable, but no later than the expiration of this Policy.

An entity which becomes a **Subsidiary** during the **Policy Period** whose assets total 25% or more of the total consolidated assets of the **Parent Organization** as of the inception date of this Policy shall be covered as a **Subsidiary** only if:

- (1) The **Parent Organization** provides written notice to the **Company** of such **Subsidiary** as soon as practicable, but within 60 days of the entity becoming a **Subsidiary**;
- (2) The **Parent Organization** provides the **Company** with such information as the **Company** may deem necessary;
- (3) The **Parent Organization** accepts any special terms, conditions, exclusions or additional premium charge as may be required; and
- (4) The **Company**, at its sole discretion, agrees to provide such coverage.

A **Subsidiary** which is sold or dissolved:

- (1) After the inception date of this Policy and which was an **Insured** under this Policy; or
- (2) Prior to the inception date of this Policy and which was an **Insured** under a prior Policy issued by the **Company**;

shall continue to be an **Insured**, but only with respect to **Claims** first made during the **Policy Period** or Extension Period, if applicable, arising out of **Wrongful Acts** or **Wrongful Employment Acts** committed or allegedly committed during the time that the entity was a **Subsidiary** of the **Parent Organization**.

- Q. “**Third Party**” means any person(s) with whom an **Insured** in their capacity as such interacts.
- R. “**Third Party Discrimination**” means **Discrimination** by an **Insured** in their capacity as such against a **Third Party** based upon such **Third Party’s** race, religion, age, sex, disability, national origin, sexual orientation or other protected class or characteristic established under applicable federal, state or local statute or ordinance. Coverage will only be provided for claim allegations relating to disparate impact and vicarious liability.
- S. “**Third Party Sexual Harassment**” means any unwelcome sexual advances, requests for sexual favors or other verbal or physical conduct of a sexual nature that is made by an **Insured** in their capacity as such against a **Third Party**. Coverage will only be provided for claim allegations relating to disparate impact and vicarious liability.
- T. “**Wrongful Act**” means any actual or alleged act, error, omission, misstatement, misleading statement, neglect or breach of duties:
- (1) By the **Organization** or by the **Individual Insureds** arising solely from their capacity with the **Organization**; or
 - (2) Asserted against the **Individual Insureds** because of their status as such.
- It is further agreed that the same **Wrongful Act**, and interrelated series of **Wrongful Acts** or a series of similar or related **Wrongful Acts** by one or more **Insureds** shall be deemed to be one **Wrongful Act** and to have commenced at the time of the earliest **Wrongful Act**.
- U. “**Wrongful Employment Act**” means any actual or alleged act of:
- (1) **Discrimination**;
 - (2) **Harassment**;
 - (3) **Retaliation**;
 - (4) **Wrongful Termination**;

- (5) Employment related misrepresentation;
- (6) Negligent evaluation, training or supervision of **Employees**;
- (7) Failure to enforce adequate policies and procedures relating to any **Wrongful Employment Act**;
- (8) Wrongful discipline;
- (9) Wrongful deprivation of career opportunity;
- (10) Negligent violation of the Family and Medical Leave Act of 1993;
- (11) Acts described in clauses (1) through (10) above arising from the use of the **Organization's** Internet, e-mail, telecommunication or similar systems, including the failure to provide and enforce adequate policies and procedures relating to such use of the **Organization's** Internet, e-mail, telecommunication or similar systems; committed or allegedly committed by the **Organization** or by an **Individual Insured** acting solely within his/her capacity as such against any **Employee**, former **Employee** or applicant for employment with the **Organization**; or asserted against any **Insured** because of his/her status as such.

Wrongful Employment Act shall also include any actual or alleged act of:

(12) **Third Party Discrimination**

(13) **Third Party Sexual Harassment**

It is further agreed that the same **Wrongful Employment Act**, and interrelated series of **Wrongful Employment Acts** or a series of similar or related **Wrongful Employment Acts** by one or more **Insured** shall be deemed to be one **Wrongful Employment Act** and to have commenced at the time of the earliest **Wrongful Employment Act**.

Coverage for **Discrimination** and **Harassment** is only provided for Claim allegations relating to disparate impact and vicarious liability.

- V. **"Wrongful Termination"** means the actual or constructive termination of an employment relationship or the demotion of or the failure to promote any **Employee** in a manner which is illegal and wrongful or in breach of an implied agreement to continue employment. **Wrongful Termination** shall not include a termination which is or is alleged to be in breach or violation of an express contract of employment or an express obligation to make payments in the event of the termination of employment.
- W. **"Termination of Coverage"** means, whether made by the **Company** or the **Insured** at any time:
 - (1) Cancellation or nonrenewal of a **Policy**; or
 - (2) Decrease in limits, reduction of coverage, increased deductible or self insured retention, new exclusion, or any other change in coverage less favorable to the **Insured**.

IV. EXCLUSIONS

The **Company** shall not be liable to make payment for **Loss** or **Defense Costs** in connection with any **Claim** made against any **Insured** arising out of, directly or indirectly resulting from or in consequence of, or in any way involving:

- A. Any actual or alleged bodily injury, sickness, humiliation, mental anguish, emotional distress, invasion of privacy, assault, battery, disease or death of any person, or theft, conversion, misappropriation, damage to or destruction of any property including any loss of use or slander of title; provided that this exclusion shall not apply:
- (1) To **Claims** for libel, slander or defamation that result from a **Wrongful Act**. However, coverage afforded for libel, slander or defamation shall only be excess over the **Insured's** primary General Liability Policy. Excess coverage under this Policy shall follow the form of said General Liability Policy. Failure to maintain a General Liability Policy shall not create primary coverage under this Policy; or
 - (2) To **Claims** for mental anguish, emotional distress, invasion of privacy, or humiliation, libel, slander or defamation that result from a **Wrongful Employment Act**;
- B. Any **Claims** brought about or contributed to by any dishonest, fraudulent or criminal **Wrongful Act** or **Wrongful Employment Act** or by any **Wrongful Act** or **Wrongful Employment Act** committed with intent to cause damage;
- C. Any of the **Insureds** gaining in fact any profit, remuneration or advantage to which such **Insured** was not legally entitled;
- D. The actual, alleged or threatened discharge, dispersal, release or escape of any solid, liquid, gaseous or thermal irritant or contaminant including smoke, vapors, soot, fumes, acids, alkalis, chemicals, or waste into or upon land, the atmosphere or any water course or body of water, whether or not such actual, alleged or threatened discharge, dispersal, release or escape is sudden, accidental or gradual in nature, or any cost or expense arising out of any request, demand, or order that any **Insured** or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize any pollutants. Waste includes materials to be recycled, reconditioned or reclaimed.
- E. Any radioactive, toxic or explosive properties of nuclear material which includes, but is not limited to, source material, "special nuclear material", and "by product material" as those terms are defined in the Atomic Energy Act of 1954 and any amendments thereto and any similar provisions by any federal, state or local statutory or common law;
- F. Any **Claims**, demands or actions seeking exclusively non-monetary relief or redress of any kind or any fees or expenses, including but not limited to attorney fees, relating thereto **Claims**, demands or actions for non-monetary relief or redress of any kind;
- G. Any pension, profit sharing, welfare benefit or other employee benefit program established in whole or part for the benefit of any **Individual Insured**, or based upon, arising out of or in any way involving the Employee Retirement Income Security Act of 1974 (or any amendments thereof or regulations promulgated thereunder) or similar provisions of any federal, state or local statutory law or common law;
- H. Any **Claim** by, at the behest of, or on behalf of the **Organization** and/or any **Individual Insured**; provided that this Exclusion shall not apply to:
- (1) Any derivative action on behalf of, or in the name or right of the **Organization**, if such action is brought and maintained totally independent of, and without the solicitation, assistance, participation or intervention of any of the **Insureds**; or

(2) A **Claim** that is brought and maintained by or on behalf of any **Individual Insured** for contribution or indemnity which is part of or results directly from a **Claim** which is otherwise covered by the terms of this Policy;

- I. Any **Claim** made by or against any builder, developer, or sponsor;
- J. The failure to effect or maintain appropriate or adequate insurance;
- K. Any actual or alleged liability of any **Insured**, in whole or in part, including but not limited to actions for contribution or indemnity, related to or for any **Construction Defect(s)**;
- L. Any **Insured's** actual or alleged liability for damages under any express contract or agreement; provided that this exclusion does not apply to liability for a **Wrongful Act** or **Wrongful Employment Act** which an **Insured** would have in the absence of the contract or agreement;
- M. Any pending or prior litigation, administrative or regulatory proceeding, **Claim**, demand, arbitration, decree, or judgment of which an **Insured** had written notice before the inception date of this Policy; or any fact, circumstance, event, situation, **Wrongful Act** or **Wrongful Employment Act** which before the inception date of this Policy was the subject of any notice under any other similar policy of insurance; or any future **Claims** or litigation based upon the pending or prior litigation or derived from the same or essentially the same facts, actual or alleged;
provided that, if this Policy is a renewal of a policy or policies previously issued by the **Company** and if the coverage provided by the **Company** was continuous from the inception date of the first such other policy to the inception date of this Policy, the reference in this exclusion will mean the inception date of the first Policy under which the **Company** began to provide continuous coverage to the **Insured**;
- N. Any **Claim** against any **Subsidiary** or its Insured Persons for any **Wrongful Act** or **Wrongful Employment Act** occurring prior to the date that such entity became a **Subsidiary** or any **Wrongful Act** or **Wrongful Employment Act** occurring at any time that such entity is not a **Subsidiary**;
- O. Any obligation under a worker's compensation, disability benefits, insurance benefits or unemployment compensation law, or any similar law; provided this exclusion will not apply to any **Claim** for actual or alleged **Retaliation**;
- P. Any liability or costs incurred by any **Insured** to modify any buildings or property in order to make said building or property more accessible or accommodating to any disabled person;
- Q. Any lockout, strike, picket line, replacement of worker(s) or other similar actions resulting from labor disputes or labor negotiations;
- R. The National Labor Relations Act, Labor Management Relations Act and amendments thereto, or any similar state, federal, or local law;
- S. Actual or alleged violations of the Fair Labor Standards Act (except the Equal Pay Act), any amendments thereto, or any similar provisions of any federal, state or local law; or
 - (1) Improper wages or wage disputes due to misclassification of **Employees** as exempt or non-exempt; or

- (2) Misrepresentation involving any **Employee's** status as exempt or non-exempt;
- T. Any act of **Discrimination** by disparate treatment or any purposeful or intentional act of **Sexual Harassment**. This exclusion shall not apply to an **Insured** who played no active role in the commission of the act, did not direct or knowingly allow any act of **Sexual Harassment**, and did nothing whatsoever to aid or encourage its commission.
- U. Any **Insured** who willfully fails to comply with the State, Local or Federal Statutes regulating Employment Practices Liability.

No **Wrongful Act** or **Wrongful Employment Act** of any **Individual Insured** or any fact pertaining to any **Insured** shall be imputed to any other **Individual Insured** for purposes of determining the applicability of Exclusions B. and C.

V. LIMITS OF LIABILITY AND RETENTION

Regardless of the number of **Insureds** under this Policy, **Claim(s)** made or brought on account of **Wrongful Act(s)**, **Wrongful Employment Act(s)** or otherwise, the **Company's** liability is limited as follows:

- A. The Limit of Liability specified in the Declarations as IN THE AGGREGATE shall be the maximum liability for **Loss** from all **Claims** to which this Coverage applies;
- B. The Limit of Liability specified in the Declarations as the Limit for EACH CLAIM shall be the maximum liability for **Loss** for each **Claim** to which this Coverage applies;
- C. **Defense Costs** shall be in addition to the Limit of Liability as shown in the Declarations.
- D. Subject to the Limits of Liability provisions stated above, the **Company** shall be liable to pay only **Loss** and **Defense Costs** in excess of the RETENTION specified in the Declarations hereof as respects each and every **Claim** to which the Coverage applies;
- E. The **Company** shall have no obligation to pay any part or all of the RETENTION specified in the Declarations for any **Claim** on behalf of any **Insured**. If the **Company**, at its sole discretion, elects to pay any part or all of the RETENTION, the **Insureds** agree to repay such amounts to the **Company** upon demand;
- F. **Claims** based upon or arising out of the same **Wrongful Act** or **Wrongful Employment Act**, interrelated **Wrongful Acts** or **Wrongful Employment Acts**, or a series of related **Wrongful Acts** or **Wrongful Employments Acts** shall be considered a single **Claim** and shall be considered first made during the **Policy Period** or **Extension Period**, if applicable, in which the earliest **Claim** arising out of such **Wrongful Act(s)** or **Wrongful Employment Act(s)** was first made and all **Loss** for such **Claims** shall be subject to the one Limit of Liability that applies to such earliest **Claim**.
- G. The Limit of Liability shall apply separately to each consecutive annual period starting with the beginning of the **Policy Period** shown in the declarations. If this Policy is issued for a period of more than twelve (12) months but less than twenty four (24) months or if the **Policy Period** is extended after issuance, the annual aggregate limit of the expiring Policy shall be increased in proportion to the Policy extension.

VI. UNLIMITED REPORTING PERIOD FOR FORMER DIRECTORS AND OFFICERS

Upon **Termination of Coverage** by the **Parent Organization** for a reason other than being sold, acquired or bankrupt, each Director or Officer who was an **Insured**, but who did not serve as a Director or Officer at the time of the cancellation or non-renewal, shall be provided an unlimited extension of coverage granted by this Policy to report any **Claim(s)** first made against the Director or Officer after the date of such cancellation or non-renewal.

However, this extension of coverage shall only be afforded in the event that the **Wrongful Act** or **Wrongful Employment Act** was committed before the date of cancellation or non-renewal, and no Directors and Officers Liability policy, or policy providing essentially the same type of coverage, or extension period, is in effect at the time the **Claim** is made. In the event similar insurance is in force, coverage as provided by this extension shall be excess over any other valid and collectible insurance.

VII. EXTENSION PERIOD

- A. Upon **Termination of Coverage**, or renewal with any change in coverage less favorable to the **Insured**, the **Company** will provide to the **Parent Organization** a sixty (60) day Automatic Extension Period (ninety (90) days with a public entity) beginning effective the date of such termination or renewal. In the event similar insurance is in force, coverage as provided by this endorsement shall be excess over any such insurance. The granting of such automatic extension period shall not serve to increase the **Company's** Limit of Liability.
- B. The **Parent Organization** shall have the right, upon payment of the required additional premium, less any return premium owed because of **Termination of Coverage**, plus any premium for the **Policy Period** which is owed and not yet paid, to a period of up to three (3) years following the effective date of renewal with any change in coverage less favorable to the **Insured** or **Termination of Coverage** (herein referred to as the Optional Extension Period) in which to give written notice to the **Company** of **Claims** first made against the **Insured** during the chosen Extension Period for any **Wrongful Act** or **Wrongful Employment Act** occurring prior to such **Termination of Coverage** and otherwise covered by this Policy.

The right to an Optional Extension Period shall terminate however, unless written notice of such election together with payment of the required additional premium due, less any return premium owed because of cancellation of this Policy, plus any premium for the **Policy Period** which is owed and not yet paid, is received by the **Company** not later than the later of: 1) sixty (60) days from the effective date of **Termination of Coverage** or, 2) thirty (30) days from the date of mailing or delivery of notice of cancellation or non-renewal stating the availability of, the premium for, and the importance of purchasing additional Extension Period coverage. The **Insured** must be informed of the availability of the Extension Period, the premium and importance of purchasing it within 30 days of expiration of the Policy. If cancelled for nonpayment of premium, the additional cost for the Extension Period does not need to be disclosed unless the **Insured** requests it. If late notice occurs, the aggregate limit of the expiring policy is increased in proportion to the Extension Period chosen.

The required additional premium shall be 30% of the full annual premium for a one year extension, 75% of the full annual premium for a two (2) year extension, and 120% of the

full annual premium for a three (3) year extension. The premium charged for the Extension Period coverage shall be based upon the rates for such coverage in effect on the date the Policy was issued or last renewed, and the **Company** shall not charge a different premium for such coverage due to any change in its rates, rating plans, or rating rules subsequent to issuance or last renewal of the Policy.

For all or any number of **Insureds** that have had continuous coverage on a claims made Policy the total aggregate limit afforded by this extension shall be the amount of coverage remaining in the expiring Policy annual aggregate. In no event shall the limits of liability afforded by any and all extensions exceed the limit of liability afforded by the Policy to which this extension applies.

Not later than thirty (30) days after the effective date of **Termination of Coverage**, the **Company** shall mail or deliver to the **Parent Organization**, a written advice of the automatic Extension Period and the availability of it, and also of the amount of the required additional premium for the Extension Period and advise the **Insured** of the importance of purchasing the Extension Period; however, if this Policy is cancelled by the **Company** due to non-payment of premium or fraud on the part of the **Insured**, the **Company** shall not be required to provide such a premium quotation unless requested by the **Parent Organization**.

An **Insured** other than the **Parent Organization** shall have the right to purchase the optional Extension Period to the extent of **Termination of Coverage** if; 1) the **Parent Organization** has been placed in liquidation or bankruptcy or permanently ceases operations; and 2) the **Parent Organization** or its designated trustee does not purchase the Optional Extension Period, and 3) within one hundred twenty (120) days of the **Termination of Coverage**, the **Company** has received from such **Insured** a written request for such Optional Extension Period coverage. If such **Insured** has not paid the required additional premium when due, then such optional Extension Period shall be void *ab initio*.

The optional Extension Period shall not be cancelable, and the required additional premium for the optional Extension Period shall be fully earned by the **Company** at the inception of the optional Extension Period.

VIII. PRESUMPTION OF INDEMNIFICATION / DELETION OF RETENTION

Regardless of whether **Loss** resulting from any **Claim** against an **Individual Insured** is actually indemnified, the RETENTION set forth in the Declarations shall apply to any **Loss** if indemnification by the **Organization** is legally permissible. The certificate of incorporation, charter, articles of association or other organizational documents of the **Organization**, including bylaws and resolutions, will be deemed to have been adopted or amended to provide indemnification to the **Individual Insured** to the fullest extent permitted by law.

However, if an **Individual Insured** is not indemnified for **Loss** solely by reason of the **Organization's** financial insolvency or because indemnification is not legally permissible, an **Individual Insured's** RETENTION as stated on the Declarations for Coverage shall be amended to \$1,000 and the **Individual Insured** shall participate in the **Loss** to the extent of

0.1% of the first \$1,000,000 of coverage, less the Retention amount. This change in Retention and participation shall not affect any other terms or conditions of this Policy.

IX. PROPERTY MANAGEMENT EXTENSION

The property manager/management company is included as an additional Insured, but only with respect to **Claims** arising out of **Wrongful Act(s)** or **Wrongful Employment Act(s)** while acting within the scope of his or her duties on behalf of the **Insured**. However, there shall be no coverage afforded for a **Claim** brought by or on behalf of (1) the property manager/ management company; (2) any current or former **Employee** thereof, or (3) any applicant for employment with the property manager/ management company.

X. SPOUSAL EXTENSION

If a **Claim** against an **Individual Insured** includes a **Claim** against the lawful spouse of such **Individual Insured** solely by reason of (1) such spousal status, or (2) such spouse's ownership interest in property or assets that are sought as recovery for **Wrongful Act(s)** or **Wrongful Employment Act(s)**, any **Loss** which such spouse becomes legally obligated to pay on account of such **Claim** shall be deemed **Loss** which the **Individual Insured** becomes legally obligated to pay as a result of the **Claim**.

All definitions, exclusions, terms and conditions of this Policy, including the Retention, applicable to any **Claim** against or **Loss** sustained by such **Individual Insured** shall also apply to such spousal **Claim** or **Loss**.

The extension of coverage afforded by this Section shall not apply to the extent the **Claim** alleges any **Wrongful Act**, error, omission, misstatement, misleading statement or neglect or breach of duties by such spouse.

XI. DEFENSE AND SETTLEMENT

The **Insureds** shall not demand or agree to arbitration of any **Claim** without the written consent of the **Company**. The **Insureds** shall not, except at personal cost, make any payment, admit any liability, settle any **Claims**, assume any obligation, or incur any expense without the **Company's** written consent. The **Company**, as it deems expedient, has the right to investigate, adjust, defend, appeal and, with the consent of the **Insured**, negotiate the settlement of any **Claim** whether within or above the Retention. If the **Insureds** refuse to consent to any settlement recommended by the **Company**, the **Insureds** shall thereafter be obligated to negotiate and defend such **Claim** independently of the **Company**. Subject to the Limit of Liability, the liability of the **Company** for such **Claim** is limited to the amount in excess of the Retention which the **Company** would have contributed to the settlement had the **Insureds** consented to settlement plus **Defense Costs** covered by the Policy incurred up to the date of such refusal to settle.

The **Insureds** agree to cooperate with the **Company** on all **Claims**, and provide such assistance and information as the **Company** may reasonably request. Upon the **Company's** request, the **Insureds** shall submit to examination and interrogation by a representative of the **Company**, under oath if required, and shall attend hearings, depositions, and trials, and shall assist in the conduct of suits, including but not limited to effecting settlement, securing and

giving evidence, obtaining the attendance of witnesses, giving written statements to the **Company's** representatives and meeting with such representatives for the purpose of investigation and/or defense, all of the above without charge to the **Company**. The **Insureds** further agree not to take any action which may increase the **Insured's** exposure for **Loss** or **Defense Costs**.

The **Insureds** shall execute all papers required and shall do everything that may be necessary to secure and preserve any rights of indemnity, contribution or apportionment which the **Insureds** may have, including the execution of such documents as are necessary to enable the **Company** to bring suit in their name, and shall provide all other assistance and cooperation which the **Company** may reasonably require.

The **Company** agrees if notice of entry of judgment for a **Claim**, first made against the **Insured** during the **Policy Period** or during the Extension Period, if applicable, for **Wrongful Acts** or **Wrongful Employment Acts** arising solely out of an **Insured's** duties on behalf of the **Organization**, is served upon the **Insured** or **Insured's** attorney and upon the **Company** and such judgment remains unsatisfied at the expiration of thirty (30) days from the serving of notice, action may, except during a stay or limited stay of execution against the **Insured** on such judgment, be maintained against the **Company** for the amount of such judgment not exceeding the Limit of Liability shown on the Policy Declarations.

XII. NOTICE/ CLAIM REPORTING PROVISIONS

Notice hereunder shall be given in writing to the **Company**. If mailed, the date of mailing of such notice shall constitute the date that such notice was given and proof of mailing shall be sufficient proof of notice.

- A. The **Insured** shall, as a condition precedent to the obligations of the **Company** under this Policy, give written notice to the **Company** of any **Claim** made against the **Insured** as a result of any incident to which this insurance applies. Notice must be first made during the **Policy Period** and reported in writing to the **Company** as soon as possible during the **Policy Period**, any subsequent renewal of this policy or any **Extended Reporting Period**. Failure to provide notice of a **Claim** within this timeframe will not invalidate any **Claim** if the **Insured** can show it was not reasonably possible to provide notice within the required timeframe and that notice was given as soon as reasonably possible. Notice by the **Insured** to any licensed agent of the **Company** of a **Claim** is considered notice to the **Company** of a **Claim**.
- B. If written notice of a **Claim** has been given to the **Company** pursuant to Paragraph A. above, then any **Claim** which is subsequently made against the **Insured** and reported to the **Company** alleging, arising out of, based upon or attributable to the facts alleged in the **Claim** of which such notice has been given, or alleging any **Wrongful Act** or **Wrongful Employment Act** which is the same as or related to any **Wrongful Act** or **Wrongful Employment Act** alleged in the **Claim** of which notice has been given, shall be considered made at the time such notice was given.
- C. If during the **Policy Period** the **Insured** shall become aware of any circumstances which may reasonably be expected to give rise to a **Claim** being made against an **Insured**, the **Insured** shall give written notice to the **Company** of the circumstances and the reasons for anticipating such a **Claim** with full particulars as to dates and persons involved. Such

notice must be given to the **Company** within the **Policy Period**. A notice of incident may be given within sixty (60) days (ninety (90) days in the case of public entity liability insurance policies) after the expiration of the Policy during the Automatic Extended Reporting Period. Any **Claim** which is subsequently made against an **Insured** and reported to the **Company** as required by the Policy alleging, arising out of, based upon or attributable to such circumstances or alleging any **Wrongful Act** or **Wrongful Employment Act** which is the same as or related to any **Wrongful Act** or **Wrongful Employment Act** alleged or contained in such circumstances, shall be considered made at the time such notice of such circumstances was first given to the **Company**.

XIII. CANCELLATION OR NON-RENEWAL

- A. This Policy may be canceled by the **Parent Organization** by either surrender thereof to the **Company** at its address stated in the Declarations or by mailing to the **Company** written notice requesting cancellation and in either case stating when thereafter such cancellation shall be effective. If canceled by the **Parent Organization**, the **Company** shall retain the earned premium and the customary short rate proportion of the premium.

B. Cancellation During First Sixty Days

The **Company** may cancel this Policy only in the event of failure of the **Insured** to pay the premium when due. Cancellation of this Policy by the **Company** shall not become effective until fifteen (15) days after written notice is mailed or delivered to the **Insured** by the **Company** at the mailing address shown in the Policy, and to the **Insured's** authorized agent or broker, if any.

C. Cancellation After 60 Days

After this Policy shall have been in effect for sixty (60) days, no cancellation of this Policy by the **Company** shall become effective until fifteen (15) days after written notice is mailed or delivered to the **Insured** by the **Company** at the mailing address shown in the Policy, and to the **Insured's** authorized agent or broker, if any. Such cancellation may be only for one or more of the reasons:

1. Nonpayment of premium; or
2. Cancellation is required pursuant to a determination by the New York Superintendent of Insurance that continuation of the present premium volume of the **Company** would jeopardize the **Company's** solvency or be hazardous to the interests of policyholders of the **Company**, its creditors or the public; and
3. A determination by the Superintendent of Insurance that continuation of the Policy would violate, or would place the **Company** in violation of, any provision of the New York Insurance Law.

D. Non-Renewal or Conditional Renewal of this Policy by the **Company**

1. This Policy shall remain in full force and effect pursuant to the same terms, conditions and rates unless a written notice is mailed or delivered to the **Insured** and its authorized agent, if any, by the **Company**, indicating the **Company's** intention:
 - (a) Not to renew the Policy;

- (b) To condition its renewal upon a decrease in limits, change in type of coverage, reduction of coverage, increased deductible or addition of any exclusion, or upon increased premiums in excess of ten percent (unless due to increased exposure units, experience rating, loss rating, retrospective rating or audit) or any change less favorable to the **Insured**; or
 - (c) That the Policy will not be renewed or will not be renewed upon the same terms, conditions or rates. Such renewal notice will advise the **Insured** that a second notice shall be mailed or delivered at a later date indicating the **Company's** intention as specified in subsections (a) or (b) hereof and that coverage shall continue on the same terms, conditions and rates as the expiring Policy, until the later of the expiration date or sixty (60) days after the second notice is mailed or delivered.
 - (d) Nonrenewal is not required when the Named **Insured** or agent authorized by the **Insured** has mailed notice that the policy has been replaced or is no longer desired.
- 2. Any notice as described in subsection (1) hereof shall contain the specific reason or reasons for non-renewal. If the notice is a conditional renewal the notice shall set forth the amount of any premium increase and the nature of any other proposed changes. Such notice shall be mailed or delivered at least sixty (60) but not more than one hundred and twenty (120) days in advance of the end of the **Policy Period**.
 - 3. This section shall not apply if the **Parent Organization**, or any agent or broker authorized by the **Insured**, or another insurer of the **Insured**, mails or delivers written notice to the **Company** that the Policy has been replaced or is no longer required.

XIV. REPRESENTATIONS AND SEVERABILITY

- A. The **Insureds** represent that the particulars and statements contained in the **Application** are true and agree that: (1) those particulars and statements are the basis of this Policy and are to be considered as incorporated into and constituting a part of the Policy; (2) those particulars and statements are material to the acceptance of the risk assumed by the **Company**; and (3) the Policy is issued in reliance upon the truth of such representations.
- B. Except for material facts or circumstances known to the person or persons signing the **Application**, no statement in the **Application** or knowledge or information possessed by an **Insured** shall be imputed to any other **Insured** for the purpose of determining the availability of coverage.

XV. SUBROGATION

In the event of any payment under this Policy, the **Company** shall be subrogated to the **Insured's** right of recovery therefore against any person or organization and the **Insured** shall execute and deliver such instruments and papers and do whatever else is necessary to secure such rights. The **Insured** shall do nothing to prejudice such rights.

XVI. CHANGES

This Policy contains all agreements between the **Insured** and the **Company** concerning the insurance afforded. The **Parent Organization** shown in the Declarations is authorized to make changes in the terms of this Policy, but only with the consent of the **Company**. This Policy's terms can be amended or waived only by endorsement issued by the **Company** and made a part of this Policy. Knowledge of a licensed agent to the **Company** shall be acknowledged to the **Company** and any fact which breaches a condition of this Policy, and is known to the **Company's** agent, shall not void the Policy or defeat a recovery thereon in the event of loss.

XVII. AUTHORIZATION CLAUSE AND NOTICES

By acceptance of this Policy, all **Insureds** agree that the **Parent Organization** shall act on behalf of all **Insureds** with respect to the giving and receiving of any return premiums that may become due under the Policy. Notice to the **Parent Organization** shall be directed to the individual named in the **Application**, or such other person as shall be designated by the **Parent Organization** in writing, at the address of the **Parent Organization**. Such notice shall be deemed to be notice to all **Insureds**. The **Parent Organization** shall be the agent of all **Insureds** to effect changes in the Policy or purchase Extension Periods.

XVIII. ASSIGNMENT

Assignment of interest under this Policy shall not bind the **Company** unless its consent is endorsed hereon.

XIX. OTHER INSURANCE

This Policy shall be excess of and not contribute with other valid and collectible insurance, including but not limited to any insurance under which there is a duty to defend, unless such other insurance is specifically written to be in excess of this Policy.

XX. TERMS OF POLICY CONFORMED TO STATUTE

Terms of this Policy which are in conflict with the statutes of the State wherein this Policy is issued are hereby amended to conform to such statutes.

XXI. CHANGES IN EXPOSURE

If after the Inception Date of this Policy:

- A. The **Parent Organization** merges into or consolidates with another entity such that the **Parent Organization** is not the surviving entity; or
 - B. Another entity, person or group of entities and/or persons acting in concert acquires more than fifty percent (50%) of the assets of the **Parent Organization**; or
 - C. Another entity, person or group of entities and/or persons acting in concert acquires the right to elect or select a majority of the directors of the **Parent Organization**; or
 - D. **Parent Organization** sells all or substantially all of its assets;
- with such events being referred to as a "Transaction",

this Policy shall continue in full force and effect with respect to **Wrongful Acts** or **Wrongful Employment Acts** occurring before the Transaction, but coverage will cease as respects actual or alleged **Wrongful Acts** or **Wrongful Employment Acts** occurring after the Transaction. This will include **Claims** first made during the automatic **Extended Reporting Period**. The entire premium for this Policy shall be deemed earned. The **Parent Organization** shall have the right to an offer by the **Company** of an Extension Period

The **Parent Organization** shall give the **Company** written notice of the Transaction as soon as practicable, but not later than thirty (30) days after the effective date of the Transaction.

The entire premium for this Policy shall be deemed earned regardless of any Transaction(s) during the **Policy Period**. In the event of a Transaction, the **Parent Organization** or its successor organization shall have the right to an offer of coverage by the **Company** for an Extension Period subject to applicable underwriting guidelines and an additional premium charge.

XXII. ACTION AGAINST THE COMPANY

- A. No action shall lie against the **Company** unless as a condition precedent thereto, there shall have been full compliance with all of the terms of this Policy, and until the amount of the **Insured's** obligation to pay shall have been finally determined either by judgment against the **Insured** or by written agreement of the **Insured**, the claimant or the claimant's legal representative, and the **Company**.
- B. Any person or the legal representative thereof who has secured such judgment or written agreement shall thereafter be entitled to recover under this Policy to the extent of the insurance afforded by this Policy. No person or entity shall have any right under this Policy to join the **Company** as a party to any action against the **Insured** to determine the **Insured's** liability, nor shall the **Company** be impeded by the **Insured** or their legal representatives. Bankruptcy or insolvency of the **Insured** or their successors in interest shall not relieve the **Company** of its obligations hereunder.

XXIII. ACCEPTANCE

This Policy embodies all agreements existing between the parties hereunder or any of their agents relating to this insurance.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

COMMUNITY ASSOCIATION PROFESSIONAL LIABILITY INSURANCE POLICY
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NEW YORK DISCLOSURE NOTICE

This Policy is written on a claims-made basis and shall provide no coverage for **claims** arising out of incidents, occurrences or alleged **Wrongful Acts** or **Wrongful Employment Acts** as defined in the Policy that took place prior to a retroactive date, if any, stated on the Policy Declarations. This Policy shall cover only those **claims** made against an **Insured** while the Policy remains in effect for incidents reported during the **Policy Period** or any subsequent renewal of this Policy or any extended reporting period, and all coverage under the policy ceases upon termination of the Policy except for the automatic extended reporting period coverage unless the **Insured** purchases additional extended reporting period coverage.

The Policy includes an automatic sixty (60) day extended **claims** reporting period following the termination of this Policy. The **Insured** may purchase, for an additional premium, an additional extended reporting period of twelve (12) months, twenty-four (24) months or thirty-six (36) months following the termination of this policy. The required additional premium shall be thirty percent (30%) of the full annual premium for a twelve (12) month extension, seventy-five percent (75%) of the full annual premium for a twenty-four (24) month extension, and one hundred twenty percent (120%) of the full annual premium for a thirty-six (36) month extension. Potential coverage gaps may arise upon the expiration of this extended reporting period. During the first several years of a claims-made relationship, claims-made rates are comparatively lower than occurrence rates. The **Insured** can expect substantial annual premium increases independent of overall rate increases if starting out with other than full prior acts coverage, until the claims-made relationship has matured.

INSURANCE

POLICY

UNITED STATES LIABILITY INSURANCE COMPANY

A STOCK COMPANY

A BERKSHIRE HATHAWAY COMPANY

1190 Devon Park Drive
Wayne, PA 19087-2191
888-523-5545 – USLI.COM

This policy jacket together with the policy declarations, coverage forms and endorsements, if any, complete this policy.

The enclosed declarations designates the issuing company.

INSURANCE POLICY

Read your policy carefully!

In Witness Whereof, the company has caused this Policy to be executed and attested. Where required by law, this Policy shall not be valid unless countersigned by a duly authorized representative of the company.

Secretary

Handwritten signature of Lauren Riley in cursive script.

President

Handwritten signature of Thomas P. McKinney in cursive script.

This endorsement changes insurance provided under the following:

COMMUNITY ASSOCIATION DIRECTORS AND OFFICERS LIABILITY

EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This insurance does not apply to:

Perfluoroalkyl And Polyfluoroalkyl Substances

The **Company** shall not be liable to make payment for, as defined by the policy above; **Loss** or **Defense Costs** in connection with any **Claim** made against the **Insured** arising out of, directly or indirectly resulting from, in consequence of, in whole or in part, or in any way involving any actual or alleged;

- a. threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any **perfluoroalkyl or polyfluoroalkyl substances**; and
- b. abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, **perfluoroalkyl or polyfluoroalkyl substances**, by any **Insured** or by any other person or entity.

Perfluoroalkyl or polyfluoroalkyl substances means any:

1. Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:
 - a. Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;
 - b. Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;
 - c. Perfluoropolyethers (PFPE);
 - d. Fluorotelomer-based substances; or
 - e. Side-chain fluorinated polymers
2. Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph 1.

All other terms and conditions of this policy are the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.